Ch#7

Q. Define business plan?

Business plan:

⇒ A written document prepared by the entrepreneur that describes all the relevant external and internal elements involved in starting a new business?

⇒ It is written narrative, typically 25 to 35 pages long, that describes what a new business intends to accomplish and how it intends to accomplish.

Dual-Use document:

⇒ For most new ventures, the business plan is a dual-purpose document that is used both inside and outside the firm.

⇒ Inside the business, the plan helps everyone understand where they are going and how to get there.

⇒ It is like a roadmap for the Company.

⇒ Outside the business, the plan is like an introduction to potential investors

- It is integration of functional plans such as marketing, finance, manufacturing, sales and HR.

and others who are interested in the business.

⇒ It tells them about the business opportunity and how the company plans to make it happen.

Other words:

⇒ A written document explains the various important steps to start/initiate and perform a particular task of a proposed business.

⇒ It provide guidance to project manager and other team involved such as:

- what is to be performed?
- when to perform?
- How to perform?
- who will perform?
- and other important activities.

⇒ All course of action, feasibility etc. are described in business plan.

⇒ A business plan is a blue-print of step by step process that would be followed to convert business idea into successful business ventures.

Q. Explain the purpose of business Plan/Need of business plan?

Purpose:

- Provides proper guidance/direction to move on.
- Helps in getting Finance.
- Helps in proper communication.
- Helps in resource Planning.
- Helps in deciding budget.

Primary reasons:

⇒ There are two primary reasons for writing a business plan:

1. Systematic thinking:

- writing a business plan makes the founders of a new business carefully consider every aspect of their venture.
- It is like creating a detailed roadmap for the business.

ex:

⇒ Given whiting and Lindsey wibes, founders of the Launderers, spent a lot of time planning their business, and it has been successful for over 10 years.

2. Creating a selling document:

⇒ A business plan also acts as a selling tool for the company.
⇒ It helps present the business to potential investors, suppliers, partners and key employees.
ex: if one entrepreneur does not have a formal business plan, while another has a detailed plan and a professional presentation, You are more likely to invest in the second entrepreneur business if You have invest money.

Internal reason	External reason
Forces the founding team to systematically think through aspect of its new venture.	Communicates the merits of a new venture to outsiders, such as investors and bankers.

Q. Who should write the plan?

⇒ Should be prepared by the entrepreneur.
⇒ However, he or she may consult with many other sources in its preparation.

Sources:
- Lawyers
- Accountants
- Marketing consultants
- Engineers

⇒ Some of these needed sources can be found through services offered by:
- SBA
- SCORE
- SBDCs
- Universities
- friends / relatives.

⇒ Internet also provides a wealth of information.

⇒ Most of the sources are free of cost or have minimal fee.

⇒ To help determine whether to hire a consultant or to make use of other resources, the entrepreneur can make an objective assessment of his or her own skills.

Skill assessment

Skills	Excellent	Good	Fair	Poor
Taxes				
Planning				
Sales				
Technology				
Product design				

Q. Who reads the plan? / Scope and value of the BP?

⇒ The business plan may be read by:

- firm employees
- Bankers
- Venture capitalists
- Suppliers
- Customers
- Advisors
- Consultants.

⇒ Two main audience:
- internal
- External

Firm's employees:

⇒ Important for both the management team and employees.

⇒ Helps everyone understand the company's vision and future plans.

⇒ for employees, especially department of heads.

Investors & external stakeholders:

• External stakeholders like investors, partners, and key employees are the second audience.

⇒ The business plan is valuable to the entrepreneur, potential investors or even new personnel, who are trying to familiarize themselves with the venture, its goals and objectives.

⇒ Potential investors are very particular about what should be included in the business plan.

⟹ Who is expected to read and plan, can often affect its actual content and focus.

⟹ In preparing the plan it is important to consider the:

- Entrepreneur's perspective
- Marketing perspective
- Investor's perspective

→ The entre-preneur must be able to clearly articulate what the venture is all about.

→ Entrepreneurs must try to view their business through eyes of their customers.

→ Should try to view his or her business through the eyes of investors.

⟹ Depth and detail in the business plan depend on:

1. Size of the market.
2. Competition
3. Potential growth
4. Size and Scope of the proposed new venture.

value of the business plan:

⟹ The business plan is valuable because it:

- Help determine the viability of the venture in a designed market.
- Guides the entrepreneur in organizing planning activities.
- Serves as an important tool in obtaining financing.

⟹ This process provides a self-assessment by the entrepreneur.

Q. How long should the business plan be?

⟹ The shorter the better it is important to be as realistic and detailed as possible without being overly repetitious.

⟹ A concise plan will be much more effective and yield better results.

Q. Write detail outline of business plan? / How to write business plan? / What are the step to write business plan?

⇒ The business plan could take hundreds of hours to prepare, depending on the experience and knowledge of the entrepreneurs.

⇒ it should be comprehensive enough to give a complete picture and understanding of the new venture.

⇒ Also help it to clarify entrepreneurs thinking about the business.

Elements in business Plan

1. Introductory page: -

⇒ This is the title or cover page of the business plan contents that provides brief summary.

⇒ It should contains the following:

A. Name and address of business/company

B. A paragraph describing the company and the nature of business

C. Statement of financing needed.

D. Statement of Confidentiality of report

E. The name of the entrepreneurs, telephone number, fax number, e-mail address and website address if available.

⇒ Also known as table of contents/cover page

⇒ This title page help the entrepreneurs to determine the amount of investment needed without having to read through the entire plan.

2. Executive Summary:

⇒ The executive summary is a short overview of the entire business plan.

⇒ it provides a busy reader with everything that needs to be known about the new venture's unique nature.

⇒ An executive summary should not exceed two single-space pages.

Elements:

1. Mission and vission statement
2. Brief sketch of plans and goals
3. A quick look of company and its organization depts.
4. Overall business strategy
5. Highlights financial status and needs.

⇒ Generally the executive summary should address a number of issues or questions that anyone picking up the written plan for the first time would want to know.

e.g

- What is the business concept or model?
- How is this business concept model unique?
- Who are the individuals starting this business?
- How will they make money and how much?

3. Company description:

⇒ The main body of the business plan beings with a general description of the company.

⇒ It demonstrates to reader to know how to translate an idea into business.

⇒ should explain where the idea for the company came from and the driving force behind its foundation.

⇒ Item to include in this section:

- Company description
- Company history
- Current status
- Key partnership (if any)

4. Environmental and industry analysis:

Environmental analysis:

⇒ Assessment of external and uncontrollable variables that may impact the business plan.

for example:

Economy, culture technology, legal concerns.

Industry Analysis:

=> Involves reviews industry trends and competitive strategies.

=> it focus on specific industry trends:

=> it provides facts like:

- How big the industry?
- How fast it's growing?

=> Items include in this section:

- Industry size, growth rate
- Industry structure
- Nature of participants
- Industry trends
- Long-term prospects

=> Industry structure refers to how concentrated or fragmented an industry is.

- Future outlook and trends
- Analysis of competitors

5- Description of the venture:

=> Provides a complete overview of the:

- Product(s).
- Service(s)
- Operations of the new venture.

=> Components of the description are:

- Mission statement → why exist, what it aspires to become?
- Important factors that provides a clear description and understanding of the business venture:
  - Products and services
  - Location and size of the business
  - Personnel and office equipment needed.
  - Background of the entrepreneur
  - History of the venture

6. Production Plan:

⇒ Details how the products will be manufactured.

- if the new venture is a manufact operation, a production plan is necessary.
- This plan should describe the complete manufacturing process.
- if some or all of the manufacturing process is to be subcontracted, the plan shoul describe the:
  - Subcontractor(s) including:

- Location
- Reasons for selection
- Costs
- Any contracts that have bee completed.

- Also describe:
- The physical plant layout
- Machinery and equipment need to perform the manufacturing operat

- raw materials
- Suppliers names, addresses
- Cost of the manufacturing

1. will you be doing all the manufacturing or just part of it?
2. if you are choosing subcontractor, who they are and where they are located?
3. why did you choose these sub-contractors?
4. what equipment will you need in future?

7. Operations Plan: → describe long- and short-term goals of the company.

⇒ it outlines how your business will function on a day to-day basis. - Outlines how your business will run and how your product or service will be produced.

⇒ All businesses - manufacturing and non-manufacturing should include an operations plans as part of the business plan.

⇒ In includes:

A. Description of company operations:

- Describe day to day operations perform by the company.

~~Flow of orders for goods and services~~

- ~~Describes~~ the flow of goods ~~and services~~ from production to ~~the~~ customer.
- Might include:
  - Inventory of manufactured products
  - shipping
  - inventory control procedures
  - Customer support services

Also include non-manufacturer

c. Technology utilization:

=> Explain how the technology is utilized to streamline operations and improve efficiency

=> What are the technology utilization requirements to service customers effectively.

=> How will the inventory control system work?

~~B. Organizational Plan~~

8. Marketing Plan:

Market analysis:

=> it is different from industry analysis.

=> Market analysis breaks the industry into segments.

market segmentation:

=> Process of dividing the market into distinct segments.

=> Markets can be segmented in many ways such as:

- By geography
- Demographic variables
- Pschographic variables etc

Competitor analysis:

=> which is detailed analysis of a firm's competitors, should be included.

=> Marketing plan can be defined as:

⇒ it describes how the products or services will be distributed, priced and promoted.

⇒ it is about how the business will market and sell its product or service.

market Conditions and strategy:

⇒ This part of the marketing plan talks about the environment where the product or service will be sold.

⇒ it includes how the company plans to distribute the product, set its price and promote it.

A. Pricing:

⇒ Sets pricing strategies for product or services offered by the business.

B. Distributions:

⇒ Outlines the distribution channels through which products or services are delivered to Customers.

C. Promotions:

⇒ Detail of promotional strategies used to raise awareness and attract customers.

D. Product forecasts:

⇒ Predictions about how well the product will sell and how much money it will make.

E. Controls:

⇒ A plan for how much money will be spent on marketing and how it will be managed.

9. Organizational Plan:

⇒ An organizational plan outlines how a business is structured, including its ownership, authority lines and member responsibilities.

⇒ This section includes:

a. Form of ownership:

⇒ what is the form of ownership of the organization.

outline the ownership structure.

Partnership:

=> who are the partners and what are the terms of agreement?

=> Clearly defines:

- Profit sharing
- Decision-making processes
- Roles and responsibilities of each partner.

For a Corporation:

=> who are the principal shareholders and how much stock do they own?

=> How many shares of voting or nonvoting stock have been issued and what type?

=> Provide information about the directors and officers of the corporation including their names, addresses.

Authority of principal:

=> Who has check signing authority or control?

Board of directors: is a panel of individuals elected by the corporation's shareholders to oversee the management of the firm.

=> Who are the members of the board of directors?

Management Team backgrounds

=> Who are the members of the management team and what are their backgrounds?

Roles and responsibilities of each member of the organization

=> What are the roles and responsibilities of each member of the management team?

=> what are the salaries, bonuses or other forms of payment for each member of the management team.

10. Assessment of Risk:

=> Assessing risk means recognizing possible dangers and coming up with backup plans to achieve business goals.

⇒ It is important that the entrepreneurs make an assessment of risks in the following manner.

1. First, indicate the potential risks to the new venture by entrepreneurs.
2. Discuss what might happen if these risks become reality.
3. Then, entrepreneurs should discuss the strategy that will be employed to prevent, minimize, or respond to the risks should they occur.

⇒ Major risks for a new venture could result from:
- Competitors reactions
- Weaknesses in marketing, production, or management
- And new technology advancements.

⇒ This section include:

A. Evaluate weaknesses of Business
B. New Technologies
C. Contingency plans

11. Financial Plans:

⇒ It determines the potential investment commitment needed for the new venture and indicates whether the business plan is economically feasible.

⇒ Three financial areas are:

1. Forecasted Sales and expenses:

⇒ Predict how much money you will make and spend in the first three years.

⇒ It is like planning your business budget.

2. Cash flow figures:

⇒ Estimate how much money will come in and go out each month for three years.

⇒ This helps to see if you will have enough cash to cover your bills.

3. Projected Balance Sheet:-

⇒ Show that what your business will own and owe in the future

⇒ it is like taking a picture of business financial health down the road.

⇒ This section could includes:

A. Assumptions

B. Proforma income statement ← are the heart of the financial section of a business plan.

C. Cash flow projections

D. Proforma balance sheet

4. Break-even analysis

5. Sources and applications of funds. → sheet is a document that lays out specifically how much money a firm need, where the money will come from and how the money will be used.

12. Appendix:

⇒ An appendix is like a bonus section at the end of a document.

⇒ it's where put extra stuff that is not essential to the main text but can be helpful or interesting

⇒ This might include things:

1. Letters from customers
2. Research data
3. Contracts
4. Price lists.

⇒ Contains backup material that is not necessary.

⇒ It is like a little extra resource pack for readers who want more information.

⇒ Appendix is any material that does not easily fit into the body of a business plan should appear in the appendix.

Conclusion:

⇒ To sum up, writing a business plan is like making a roadmap for your business. It helps to understand what your business is about, who your customers are, what your goals are, and how you will make money.

Q. Why business plan fails?

⇒ Generally, a poorly prepared business plan can be blamed on one or more of the following factors.

1. Goals set by the entrepreneur are unreasonable.
2. Objectives are not measureable.
3. Entrepreneur has not made a total commitment to the business or to the family.
4. The entrepreneur has no experience in the planned business.
5. Entrepreneur has no sense of potential threats or weaknesses to the business.
6. No customer need was established for the proposed product or service.

Q. How do potential lenders and investors evaluate the plan?

Evaluating the business plan:

⇒ The business plan must address:
- Strengths of management and personnel
- Product or service
- Available resources

⇒ Entrepreneur prepares a first draft of the business plan from a personal viewpoint.
- Appropriate changes are necessary as entrepreneur is aware of the audience

Lenders

- Primarily interested ability of the new venture to pay back the debt

Investors

- Particularly venture capitalists have different needs:
  - Demand high rates of return

Q. What are different types of business plan?

⇒ There are three types of business plan:

1. Summary plan:

Length: 10 to 15 pages.

Who it's for: Very early-stage companies or experienced entrepreneurs exploring new ventures.

Purpose: Provides a concise overview of the business idea and goals.

Example: Drew Houston, co-founder of Dropbox, might use this to quickly share his new business idea with investors for feedback.

2. Full Business plan:

Length: 25 to 35 pages.

Who it's for: Typically used for investors.

Purpose: Details the Company's operations, plans and strategies Comprehensively.

Example: This is the type of plan often required by investors before they decide to invest in a Company.

3. Operational Business plan:

Length: 400 to 100 pages

Who it's for: primarily for internal use within established businesses.

Purpose: Serves as a detailed blueprint for the company's day-to-day operations.

Example:

Used by operational managers to guide the company's ongoing activities and decision-making.